

- After investing, perhaps they see the stock market take a temporary dip a few short weeks or months later. It's all they keep hearing about on the news and in other media, and so panic sets in and they sell their short-lived investments at a major loss.
- Or maybe they're just having trouble sleeping at night because that's a big chunk of cash they invested in the stock market and right about now it feels like one big massive gamble. Plus they have bills to pay, so just like the previous two scenarios, they sell their short-lived investments with minimal to no gains or with big losses.

If you ask me, these are pretty lousy scenarios. Time has been wasted, hard-earned money has been lost, and they're definitely not getting any of those missed hours of sleep back. Fortunately, if you are reading this book, I know for sure that you are not (or no longer) about that life. You want to know what you're doing before diving in, and rightfully so.

How exactly should you get prepared before you dive into investing? Let's talk.

KEY FACTORS TO ENSURE YOU'RE PREPARED TO INVEST

There are some key considerations you'll want to keep in mind to make sure that once you start investing, you aren't tapping in and cashing out too quickly because you were ill-prepared. If you don't meet all of the following criteria just yet, don't worry or give up on investing. Just add any areas of improvement to your preparation list so you can set yourself up for success.

You have an income, preferably a steady income. It goes without saying that you need money to invest, even if it's just a little bit. When you're starting small, the key to building your investment portfolio is investing consistently over time. Having a steady income will allow you to make these consistent investments. If you're between jobs or trying to find a job and don't have an income coming in, your focus should first be on making enough money to cover your basic living expenses before you start thinking about investing.